

Lotes (3533.TW)

Earnings review: Rising material costs continue to weigh on margins; Neutral

3533.TW 12m Price Target: **NT\$1,790.00** Price: **NT\$2,010.00** Downside: **10.9%**

2Q26 result overview

Lotes' 2Q26 core business (OPI) was 36%/29% lower than GSe and BBG consensus, with GM 5.2ppt/4.1ppt lower than GSe/BBG consensus, which we believe was driven by higher material costs while low-cost inventory was largely depleted in 1Q26. The OPEX to sales ratio was 3.8ppt/3.5ppt higher than GSe and BBG consensus, due to increasing investment in R&D for new products. For earnings, Lotes' NI was 23%/17% lower than GSe/BBG consensus, mainly driven by the negative impact on GM from rising material costs.

Furthermore, the company announced plans to issue up to NT\$3.1bn of convertible bonds and up to 1.3mn of new shares (we estimate the share issuance could raise ~NT\$1.8bn, assuming an issuance price equivalent to 70% (based on the discount % mentioned in the announcement) of today's close price of NT\$2,010, and would imply ~1.1% EPS dilution if fully issued). We believe the capital raise is likely to fund capacity expansion for future AI-related products, as the company previously mentioned AI-related contribution will expand to double-digit of total revenue over the next 3-5 years.

Valuation

We maintain our Neutral rating with a 12-m TP of NT\$1,790, based on 17.5x 2H26-1H27E P/E, which is +0.5 SD above the company's average valuation since 2020.

Key risks: (1) stronger-/weaker-than-expected server shipment growth which would raise/lower server CPU socket demand; (2) lower-/higher-than-expected component costs without product pricing adjustment; (3) slower-/faster-than-expected AI server-related contribution

NEUTRAL

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Key Data

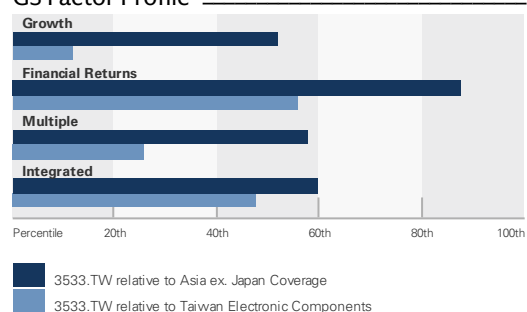
Market cap: NT\$209.8bn / \$6.5bn
Enterprise value: NT\$194.0bn / \$6.0bn
3m ADTV: NT\$2.7bn / \$83.9mn
Taiwan
Taiwan Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT\$ mn)	33,783.4	41,627.5	47,906.3	53,902.1
EBITDA (NT\$ mn)	12,954.5	15,499.3	18,574.5	20,900.1
EPS (NT\$)	70.17	92.16	114.70	129.94
P/E (X)	20.5	21.8	17.5	15.5
P/B (X)	4.2	5.2	4.5	3.9
Dividend yield (%)	2.4	2.3	2.9	3.2
N debt/EBITDA (ex lease,X)	(0.9)	(1.0)	(1.1)	(1.2)
CROCI (%)	27.2	31.0	32.8	32.8
FCF yield (%)	2.2	3.4	4.2	5.0

	3/26	6/26E	9/26E	12/26E
EPS (NT\$)	21.37	22.97	24.04	23.78

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
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NEUTRAL

Lotes (3533.TW)

Rating since Aug 13, 2024

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	20.5	21.8	17.5	15.5
P/B (X)	4.2	5.2	4.5	3.9
FCF yield (%)	2.2	3.4	4.2	5.0
EV/EBITDAR (X)	11.5	13.5	11.1	9.6
EV/EBITDA (excl. leases) (X)	11.5	13.5	11.1	9.6
CROCI (%)	27.2	31.0	32.8	32.8
ROE (%)	21.1	25.2	27.5	27.1
Net debt/equity (%)	(30.0)	(34.5)	(38.4)	(41.5)
Net debt/equity (excl. leases) (%)	(30.0)	(34.5)	(38.4)	(41.5)
Interest cover (X)	281.6	3,088.3	8,848.9	9,543.9
Days inventory outst, sales	42.1	40.8	39.5	39.0
Receivable days	152.1	138.6	136.4	136.9
Days payable outstanding	72.3	66.8	64.7	64.5
DuPont ROE (%)	19.5	22.6	24.6	24.4
Turnover (X)	0.7	0.7	0.7	0.7
Leverage (X)	1.2	1.2	1.2	1.2
Gross cash invested (ex cash) (NT\$)	40,016.9	44,390.4	49,563.5	55,272.5
Average capital employed (NT\$)	25,749.4	29,114.4	31,083.8	33,584.2
BVPS (NT\$)	341.62	388.89	446.24	511.21

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	12.3	23.2	15.1	12.5
EBITDA growth	3.4	19.6	19.8	12.5
EPS growth	(15.2)	31.3	24.5	13.3
DPS growth	(15.7)	31.7	24.5	13.3
EBIT margin	30.6	30.7	32.8	33.2
EBITDA margin	38.3	37.2	38.8	38.8
Net income margin	23.3	24.8	26.9	27.0

Price Performance**Income Statement (NT\$ mn)**

	12/25	12/26E	12/27E	12/28E
Total revenue	33,783.4	41,627.5	47,906.3	53,902.1
Cost of goods sold	(16,449.7)	(20,436.9)	(22,614.7)	(25,212.4)
SG&A	(3,486.3)	(3,901.9)	(4,407.4)	(4,959.0)
R&D	(3,503.0)	(4,526.6)	(5,180.3)	(5,841.3)
Other operating inc./exp.)	—	—	—	—
EBITDA	12,954.5	15,499.3	18,574.5	20,900.1
Depreciation & amortization	(2,610.1)	(2,737.2)	(2,870.6)	(3,010.7)
EBIT	10,344.4	12,762.1	15,703.9	17,889.5
Net interest inc./exp.)	336.3	447.3	519.4	596.5
Income/(loss) from associates	0.0	0.4	0.4	0.4
Pre-tax profit	10,190.9	13,057.3	16,254.3	18,389.9
Provision for taxes	(2,243.8)	(2,582.7)	(3,250.9)	(3,678.0)
Minority interest	(81.1)	(139.8)	(140.1)	(140.1)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	7,866.0	10,334.8	12,863.4	14,571.8
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	7,866.0	10,334.8	12,863.4	14,571.8
EPS (basic, pre-exception) (NT\$)	70.20	92.16	114.70	129.94
EPS (diluted, pre-exception) (NT\$)	70.17	92.16	114.70	129.94
EPS (basic, post-exception) (NT\$)	70.20	92.16	114.70	129.94
EPS (diluted, post-exception) (NT\$)	70.17	92.16	114.70	129.94
DPS (NT\$)	35.00	46.08	57.35	64.97
Div. payout ratio (%)	49.9	50.0	50.0	50.0

Balance Sheet (NT\$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	12,499.9	15,867.2	20,181.9	24,876.1
Accounts receivable	14,850.4	16,765.0	19,031.3	21,413.2
Inventory	4,374.9	4,927.3	5,452.3	6,078.6
Other current assets	1,508.9	1,290.2	1,341.6	1,380.3
Total current assets	33,234.2	38,849.7	46,007.1	53,748.1
Net PP&E	13,429.3	14,261.1	15,459.5	16,517.8
Net intangibles	302.2	233.2	164.2	95.3
Total investments	961.5	961.9	962.3	962.7
Other long-term assets	2,506.1	2,506.1	2,506.1	2,506.1
Total assets	50,433.3	56,812.0	65,099.2	73,829.9
Accounts payable	3,678.0	3,807.4	4,213.2	4,697.1
Short-term debt	381.3	77.7	123.1	89.7
Short-term lease liabilities	—	—	—	—
Other current liabilities	4,945.7	6,191.3	7,455.7	8,309.9
Total current liabilities	9,004.9	10,076.5	11,792.0	13,096.7
Long-term debt	0.0	0.0	—	—
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	1,013.5	1,013.5	1,013.5	1,013.5
Total long-term liabilities	1,013.5	1,013.5	1,013.5	1,013.5
Total liabilities	10,018.4	11,090.0	12,805.4	14,110.2
Preferred shares	—	—	—	—
Total common equity	38,443.8	43,611.2	50,042.9	57,328.8
Minority interest	1,971.0	2,110.8	2,250.9	2,390.9
Total liabilities & equity	50,433.3	56,812.0	65,099.2	73,829.9
Net debt, adjusted	(12,118.6)	(15,789.5)	(20,058.8)	(24,786.4)

Cash Flow (NT\$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	7,866.0	10,334.8	12,863.4	14,571.8
D&A add-back	2,610.1	2,737.2	2,870.6	3,010.7
Minority interest add-back	81.1	139.8	140.1	140.1
Net (inc)/dec working capital	(1,700.4)	(2,337.5)	(2,385.5)	(2,524.2)
Other operating cash flow	(329.0)	218.3	(51.8)	(39.0)
Cash flow from operations	8,527.9	11,092.6	13,436.6	15,159.3
Capital expenditures	(4,976.0)	(3,500.0)	(4,000.0)	(4,000.0)
Acquisitions	(64.3)	—	—	—
Divestitures	619.9	—	—	—
Others	(1,436.9)	—	—	—
Cash flow from investing	(5,857.3)	(3,500.0)	(4,000.0)	(4,000.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(4,803.3)	(3,921.7)	(5,167.4)	(6,431.7)
Inc/(dec) in debt	(3,551.3)	(303.6)	45.5	(33.4)
Other financing cash flows	(475.0)	0.0	0.0	0.0
Cash flow from financing	(8,829.6)	(4,225.3)	(5,121.9)	(6,465.1)
Total cash flow	(6,159.0)	3,367.3	4,314.7	4,694.2
Free cash flow	3,551.9	7,592.6	9,436.6	11,159.3

Source: Company data, Goldman Sachs Research estimates.

Exhibit 1: Lotes 2Q26 earnings comp table

Lotes (3533.TW)	2Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT\$mn)	Actual	GS est.	Diff (%)	1Q26	QoQ	2Q25	YoY	Consensus	%
Revenue	9,569	10,546	-9%	9,328	3%	8,336	15%	10,071	-5%
Gross profits	4,351	5,341	-19%	4,622	-6%	4,251	2%	4,988	-13%
Operating profits	2,103	3,263	-36%	2,708	-22%	2,599	-19%	2,979	-29%
Pre-tax income	2,598	3,263	-20%	3,003	-13%	1,220	113%	3,132	-17%
Net earnings	1,984	2,575	-23%	2,397	-17%	749	165%	2,398	-17%
EPS, NT\$	17.67	22.97	-23%	21.37	-17%	6.69	164%	21.49	-18%
Gross margin (%)	45.5%	50.6%	-5.2ppt	49.5%	-4.1ppt	51.0%	-5.5ppt	49.5%	-4.1ppt
EBIT margin (%)	22.0%	30.9%	-9.0ppt	29.0%	-7.1ppt	31.2%	-9.2ppt	29.6%	-7.6ppt
Net margin (%)	20.7%	24.4%	-3.7ppt	25.7%	-5.0ppt	9.0%	11.8ppt	23.8%	-3.1ppt

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Disclosure Appendix

Reg AC

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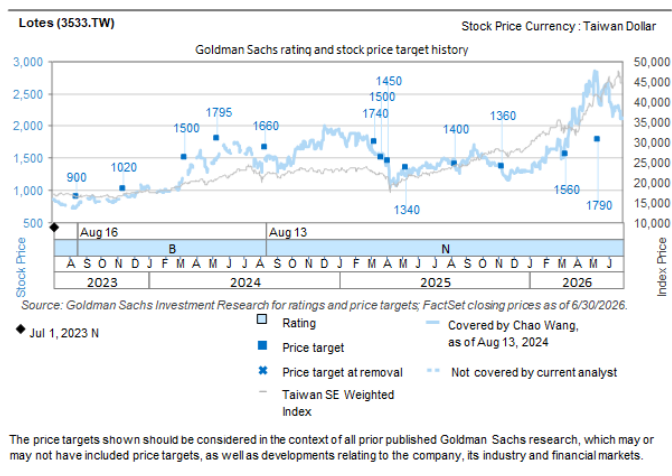
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Price target and rating history chart(s)



Target price history table(s)

Lotes (3533.TW)

Date of report	Target price (NT\$)	Closing price (NT\$)
14-May-26	1,790.00	2,450.00
13-Mar-26	1,560.00	1,750.00
11-Nov-25	1,360.00	1,295.00
12-Aug-25	1,400.00	1,450.00
09-May-25	1,340.00	1,255.00
06-Apr-25	1,450.00	1,430.00
24-Mar-25	1,500.00	1,515.00
10-Mar-25	1,740.00	1,595.00
13-Aug-24	1,660.00	1,505.00
13-May-24	1,795.00	1,500.00
12-Mar-24	1,500.00	1,225.00
13-Nov-23	1,020.00	924.00
16-Aug-23	900.00	733.00

Price targets shown in table(s) are unadjusted for corporate actions.

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